

INSURANCE

UPDATING YOUR POLICY

Life is full of changes, so you may need to revisit your insurance policies to ensure you are adequately covered at all times

Most people understand the importance of investments as the bedrock of a sound financial plan or savings as an integral aspect; others forget how important insurance can be. Without proper insurance coverage, you could put your wealth or financial future at risk. You can't ignore the importance of insurance. It is a tool that protects the financial plan you have worked hard to build. It transfers several of life's worst-case scenarios, such as death or disability, to an insurer. In this way, it creates a financial safety net that doesn't disrupt your savings or derail your investments.

Life and health insurance are meant to help protect your family's financial future. Both these forms of insurance help you support your family's stability if you die or your health takes a turn for the worse. Ideally, we all want to live a long, healthy life, and insurance should be seen as a tool for peace of mind. Yet life comes with its share of events, many of which are beyond our control. The concept of ideal insurance coverage is transient and insurance isn't a once-and-done purchase because, over time, both your needs and financial situation change.

Generally, your life insurance needs are closely tied to your financial life, including your current income, assets, debts, dependents and long-term goals. As those things shift, or new responsibilities arise, your coverage needs also change. Likewise, a health policy that provided adequate cover in your 20s may not be sufficient in your late 30s. For these reasons, it's a good idea to revisit your insurance coverage, especially after a major life event. Another reason to revisit your insurance needs is that costs go up as you age, so it makes sense to buy coverage when you are still young and in better health.

WHEN TO REVISIT

If you are on top of your financial life, you should review how your investments, savings and financial goals are progressing—at least once a year. Such an annual review of your existing life and health insurance is a good starting point for revisiting your policies. The review isn't just about the policy; it is also about the amount of cover you have, the type of policy, the premium you are paying and the remaining duration of the policy. Having easy access to your existing policies in a single place gives you greater control to make better decisions at the time of review. You could create an electronic insurance account (eIA) with the NSDL National Insurance Repository to keep a record of all your existing insurance policies.

REVIEW YOUR LIFE AND HEALTH INSURANCE AT LEAST ONCE A YEAR, OR WHEN SIGNIFICANT LIFE EVENTS OCCUR, SUCH AS MARRIAGE, THE BIRTH OF A CHILD, A JOB CHANGE OR A CHANGE IN YOUR NET WORTH

↘ **Marital status:** Once you get married, life insurance can help protect your spouse's financial security if you die unexpectedly, especially if they aren't an earning member. If both you and your spouse are working, review your respective life covers and adjust them to reflect your changed financial situation. For health insurance policies, you may consider a joint cover in addition to your individual cover, or factor in the cover your employer offers and adjust your own. It is also a good time to check the nomination on the policy and update it. You may also